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Principles of Management 2.0

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Chapter 5

Strategic Management

Learning Objectives



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- ❖ See how strategy fits in the planning-organizing-leading-controlling (P-O-L-C) framework
- ❖ Better understand how strategies emerge
- ❖ Understand strategy as trade-offs, discipline, and focus
- ❖ Conduct internal analysis to develop strategy
- ❖ Conduct external analysis to develop strategy
- ❖ Formulate organizational and personal strategy with the strategy diamond

Understand How Strategy Fits in the P-O-L-C Framework

Planning	Organizing	Leading	Controlling
1. Vision & Mission 2. Strategizing 3. Goals & Objectives	1. Organization Design 2. Culture 3. Social Networks	1. Leadership 2. Decision Making 3. Communications 4. Groups/Teams 5. Motivation	1. Systems/Processes 2. Strategic Human Resources

Strategic Management Process

The process by which a firm manages the formulation and implementation of its strategy

- The coordinated means by which an organization achieves its goals and objectives

Strategic Management Process

Strategy Formulation

- The set of processes involved in creating or determining the strategies of the organization

Strategy Implementation

- The methods by which strategies are operationalized or executed within the organization

Strategizing in P-O-L-C

Planning	Organizing	Leading	Controlling
1. Vision & Mission 2. Strategizing 3. Goals & Objectives	1. Organization Design 2. Culture 3. Social Networks	1. Leadership 2. Decision Making 3. Communications 4. Groups/Teams 5. Motivation	1. Systems/Processes 2. Strategic Human Resources



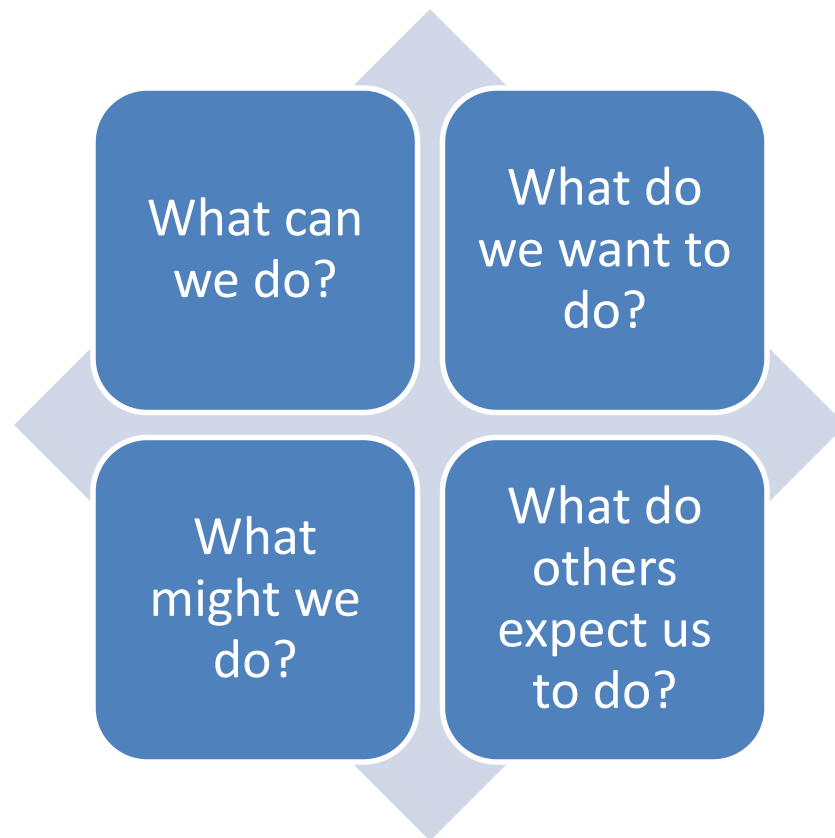
Corporate and Business Strategy



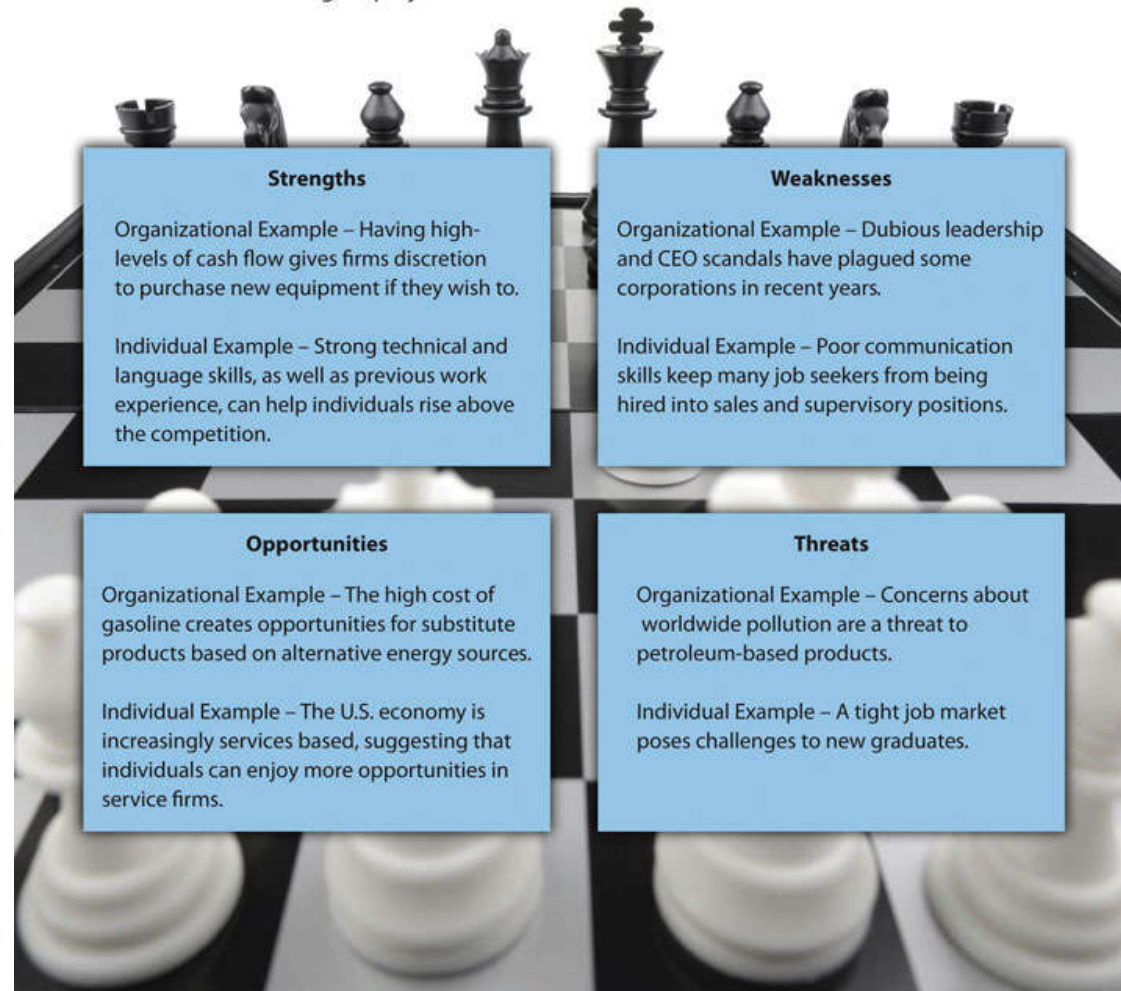


SWOT Analysis

An assessment of strengths, weaknesses, opportunities and threats



Chess master Bruce Pandolfini has noted the similarities between business and chess. In both arenas, you must understand your own abilities as well as your flaws. You must also know your opponents, try to anticipate their moves, and deal with considerable uncertainty. A very popular management tool that incorporates the idea of understanding the elements internal and external to the firm is SWOT (strengths, weaknesses, opportunities, and threats) analysis. Strengths and weaknesses are assessed by examining the firm, while opportunities and threats refer to external events and trends. These ideas can be applied to individuals too. Below we offer examples of each element of SWOT analysis for organizations and for individuals who are seeking employment.



Internal Analysis Tools

*Value
chain*

VRIO

External Analysis Tools

PESTEL

*Industry
analysis*

Examining the general environment involves gaining an understanding of key factors and trends in broader society. PESTEL analysis is a popular framework for organizing these factors and trends and isolating how they influence industries and the firms within them. Below we describe each of the six dimensions associated with PESTEL analysis: political, economic, social, technological, environmental, and legal.

P



Political factors include elements such as tax policies, changes in trade restrictions and tariffs, and the stability of governments.

E



Economic factors include elements such as interest rates, inflation rates, gross domestic product, unemployment rates, levels of disposable income, and the general growth or decline of the economy.

S



Social factors include trends in demographics such as population size, age, and ethnic mix, as well as cultural trends such as attitudes toward obesity and consumer activism.

T



Technological factors include, for example, changes in the rate of new product development, increases in automation, and advancements in service industry delivery.

E



Environmental factors include, for example, natural disasters and weather patterns.

L



Legal factors include laws involving issues such as employment, health and safety, discrimination, and antitrust.

Discussion

- What is the difference between strategy formulation and strategy implementation?
- What is the difference between business strategy and corporate strategy?
- What are some of the forms of diversification and what do they mean?
- What do you learn from a SWOT analysis?
- In SWOT analysis, what are some of the tools you might use to understand the internal environment (identify strengths and weaknesses)?
- In SWOT analysis, what are some of the tools you might use to understand the external environment (identify opportunities and threats)?

Strategic planning, usually in the form of a business plan, is a key aspect of creating a new venture. Many well-known firms, however, owe their success more to their ability to adapt than to their original plan. Most firms begin by pursuing their plans (also known as intended strategy), but unexpected opportunities that arise over time can lead firms in much different directions than could have ever been anticipated (emergent strategy). Ultimately, the intended and emergent strategies each contribute to a firm's realized strategy. In the cases below, the original intended strategy can barely be detected within today's strategy.

	Intended Strategy	Emergent Strategy	Realized Strategy
	David McConnell aspired to be a writer. When his books weren't selling he decided to give out perfume as a gimmick.	The perfumes McConnell gave out with his books were popular, inspiring the foundation of the California Perfume Company.	The company changed its name to Avon in 1939, and its direct marketing system remained popular for decades. Avon is now available online and in retail outlets worldwide.
	When father and son team Scott and Don Rasmussen were fired from the New England Whalers, they envisioned a cable television network that focused on sports events in the state of Connecticut.	As the network became successful, ESPN has branched out beyond the local softball games and demolition derbies that were first broadcasted.	ESPN is now billed as the worldwide leader in sports, owning several ESPN affiliates as well as production of ESPN magazine, ESPN radio, and broadcasting for ABC.
	In 1977, a cash-strapped advertiser gave a radio station managed by Lowell Paxson 112 electric can openers to pay off an overdue bill. The can openers were offered over the air for \$9.95 and quickly sold out.	An idea emerged. Soon the radio station features a regular show called "Suncoast Bargaineers." In 1982, Paxson and a partner launched the Home Shopping Club on local cable television in Florida.	Today the Home Shopping Network has evolved into a retail powerhouse. The company sells tens of thousands of products on television channels in several countries and over the Internet.

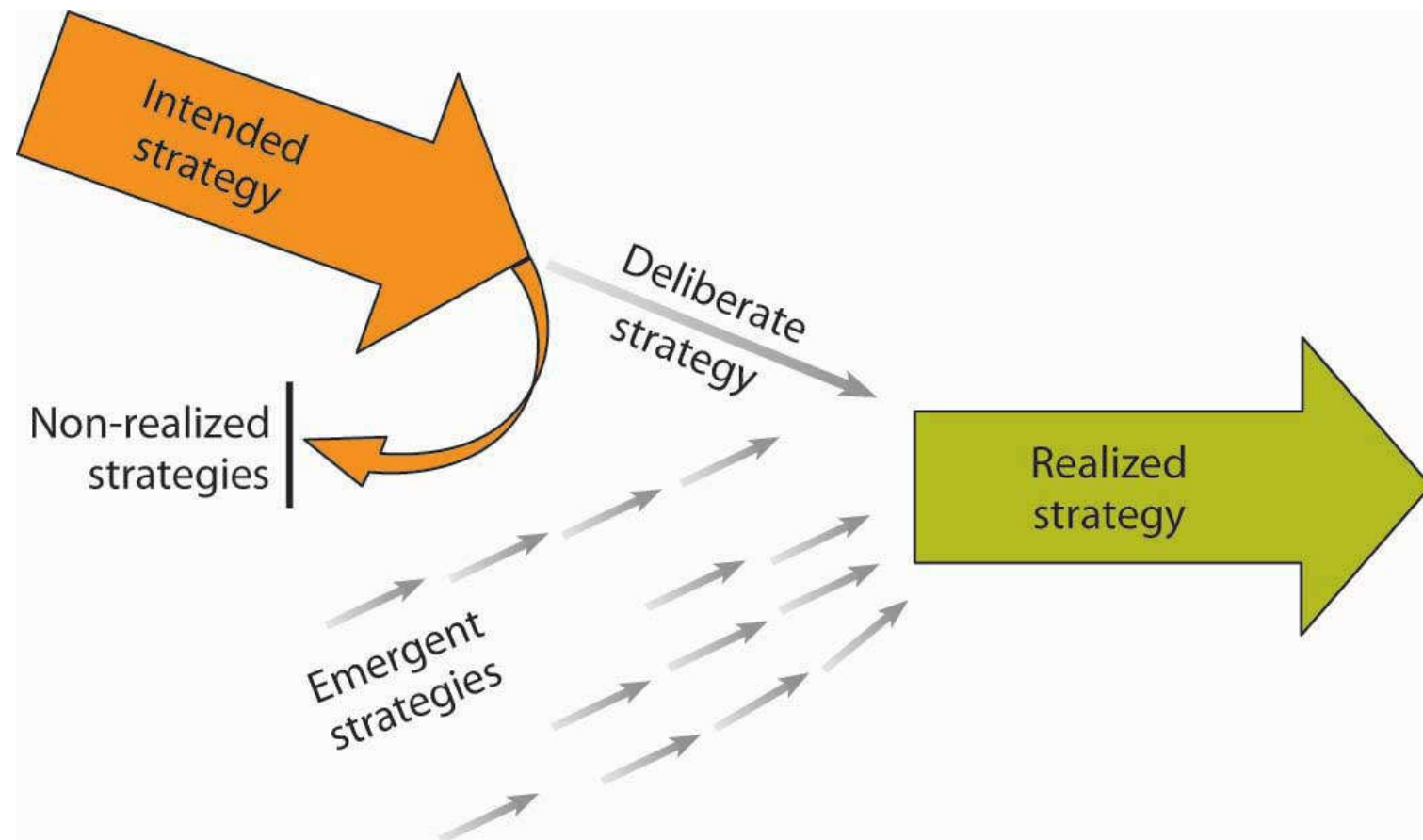
Various Factors Can Undermine a Strategy

The plan is poorly constructed

Competitors undermine the advantages envisioned by the plan

The plan was good, but poorly executed

Intended, Deliberate, Realized, and Emergent Strategies



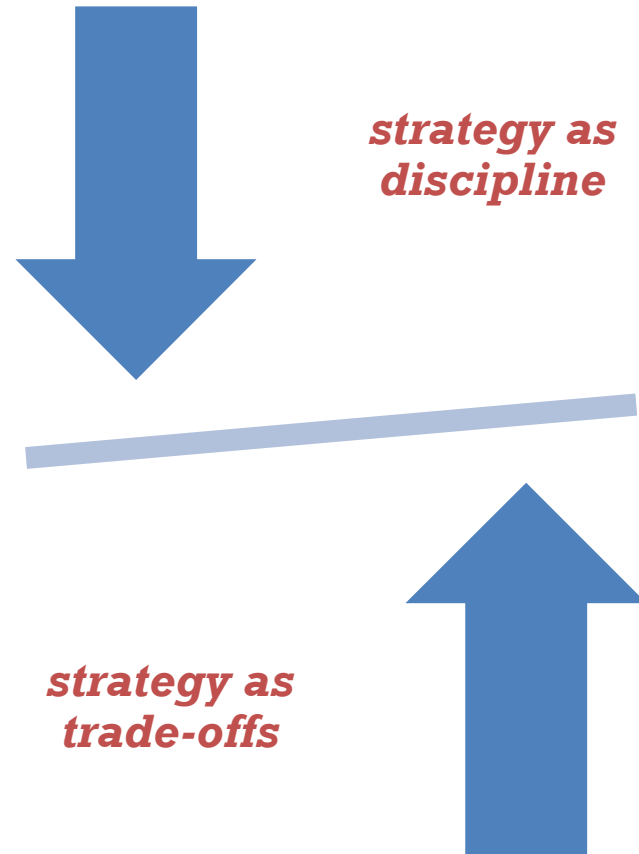
Discussion

- What is an intended strategy?
- What is a realized strategy?
- Why is it important to understand the difference between intended and realized strategies?
- Why is there not a perfect match-up between realized and intended strategies?
- What might interfere with the realization of an intended strategy?

What is Strategic Focus?



Strategic focus is seen when an organization is very clear about its mission and vision, and has a coherent, well-articulated strategy for achieving those.



Porter's Generic Strategies

Firms compete on two general dimensions – the source of competitive advantage (cost or uniqueness) and the scope of operations (broad or narrow). Four possible generic business-level strategies emerge from these decisions. An example of each generic business-level strategy from the retail industry is illustrated below.



Differentiation or Price Leadership Strategy?



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Southwest Airlines has combined cost cutting measures with differentiation, proving that it is possible to succeed using **combination** strategies

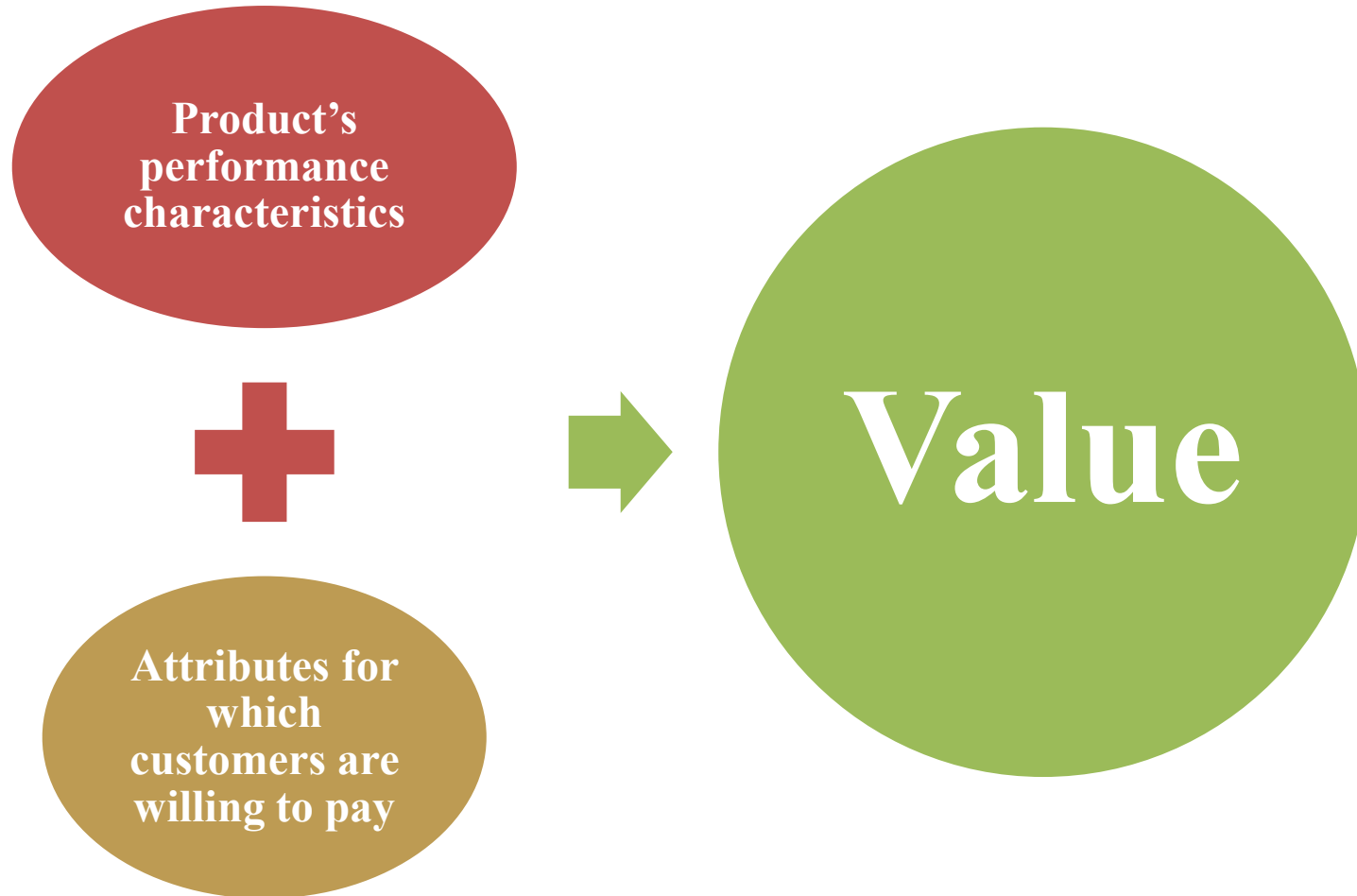
Discussion

- What is strategic focus and why is it important?
- What are Porter's three generic strategies?
- Can a firm simultaneously pursue a low-cost and a differentiation strategy?

Developing Strategy Through Internal Analysis

The primary purpose for internal analysis is to understand the unique resources, capabilities, and core competencies of organizations that may enable them to outperform their competitors overtime.

Measuring Value with Core Competencies



Resources and Capabilities

Resources and capabilities are the basic building blocks that organizations use to create strategies. These two building blocks are tightly linked—capabilities tend to arise from using resources over time.

Resources

Resources can be divided into two main types:

Tangible resources are resources that can be readily seen, touched, and quantified. Physical assets such as a firm's property, plant, and equipment are considered to be tangible resources, as is cash.

Intangible resources are quite difficult to see, touch, or quantify. Intangible resources include, for example, the knowledge and skills of employees, a firm's reputation, and a firm's culture. In a nod to Southwest Airlines' outstanding reputation, the firm ranks fourth in *Fortune* magazine's 2011 list of the "World's Most Admired Companies." Only Apple, Google, and Berkshire Hathaway enjoy a stronger reputation.

Resources and Capabilities

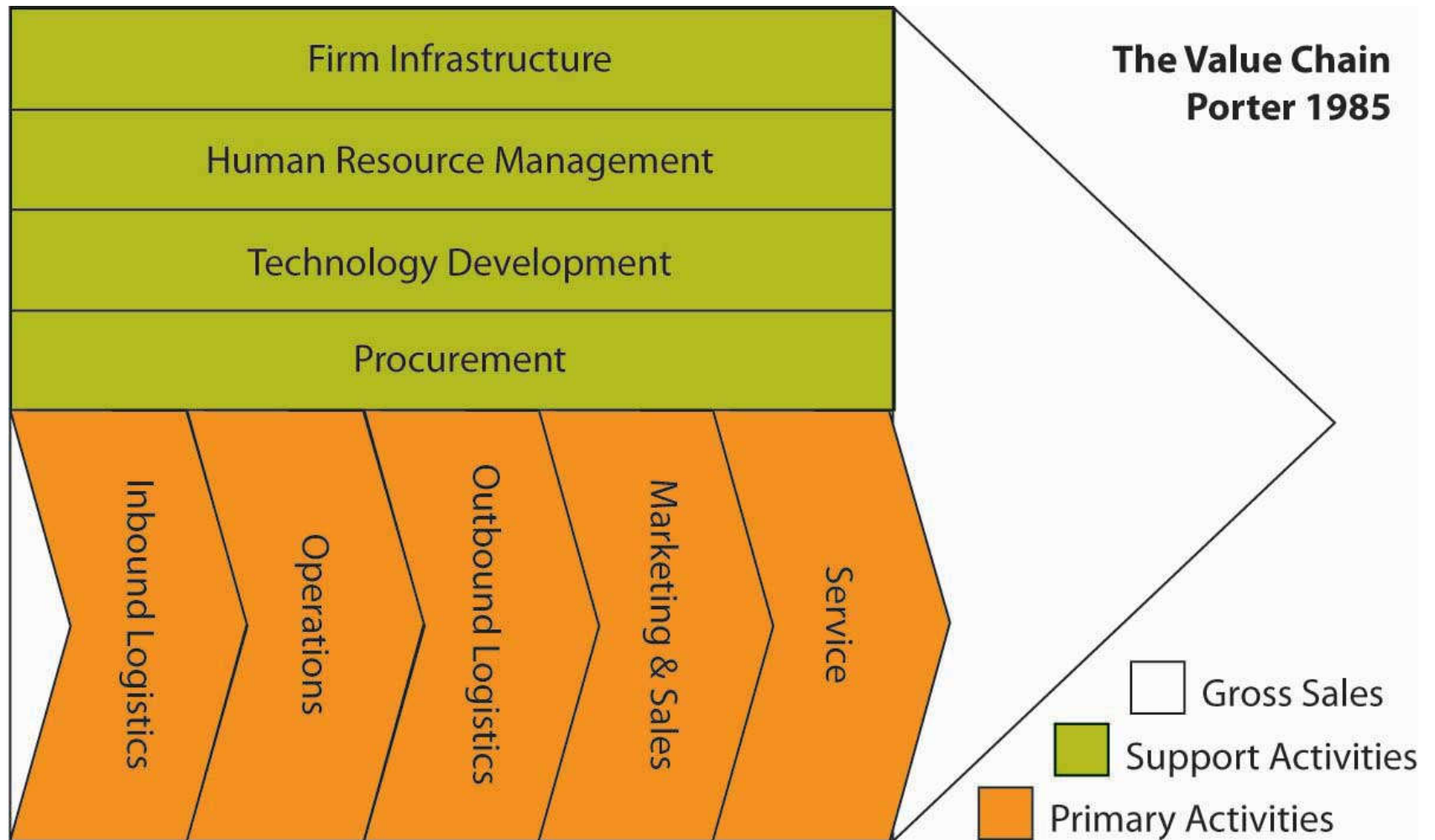
While resources refer to what an organization *owns*, capabilities refer to what the organization can *do*. More specifically, capabilities refer to the firm's ability to bundle, manage, or otherwise exploit resources in a manner that provides value added and, hopefully, advantage over competitors.



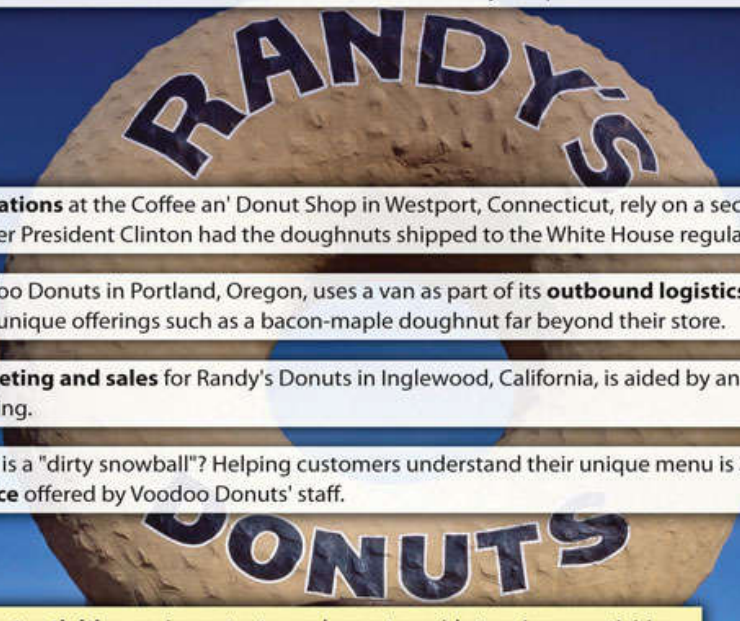
A *dynamic capability* exists when a firm is skilled at continually updating its array of capabilities to keep pace with changes in its environment. General Electric, for example, buys and sells firms to maintain its market leadership over time while Coca-Cola has an uncanny knack for building new brands and products as the soft-drink market evolves. Not surprisingly, both of these firms rank among the top thirteen of the "World's Most Admired Companies" for 2011.

Capabilities

The Value Chain



Doughnut shops buy commodity products (such as flour and grease) and transform them into delectable treats. Consumers are willing to pay much more for doughnuts than they would for flour and grease. Below we illustrate how primary and support activities in the value chain can add value for doughnut shops.



Primary activities involve the creation and distribution of goods and services.

A healthy doughnut? Not really, but the **inbound logistics** of organic ingredients from a local farmer's market makes the Donut Plant in New York City unique.

Operations at the Coffee an' Donut Shop in Westport, Connecticut, rely on a secret doughnut recipe. Former President Clinton had the doughnuts shipped to the White House regularly.

Voodoo Donuts in Portland, Oregon, uses a van as part of its **outbound logistics**. The van takes their unique offerings such as a bacon-maple doughnut far beyond their store.

Marketing and sales for Randy's Donuts in Inglewood, California, is aided by an attention-grabbing building.

What is a "dirty snowball"? Helping customers understand their unique menu is an important **service** offered by Voodoo Donuts' staff.

Support activities are important supplementary aids to primary activities.

As an example of **firm infrastructure**, the explosive growth of Tim Hortons under Ron Joyce's leadership led Canada to have the highest per-capita consumption of doughnuts in the world.

A key **human resource management** issue for all doughnut shops is ensuring that a friendly face greets each customer.

The conveyor belt used by Krispy Kreme is a **technology** that creates efficiency and a visual enticement for potential customers.

Large chains such as Dunkin' Donuts enjoy low prices in their **procurement** process because they buy supplies in bulk.

Adding Value Within a Value Chain

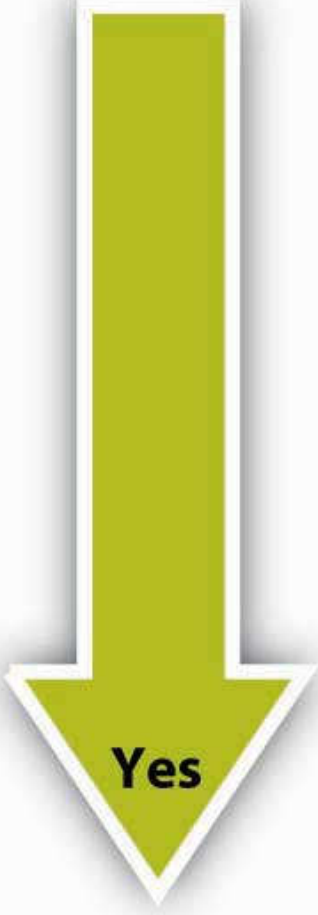
VRIO Analysis

Value

Rarity

Inimitability

Organization

<u>Valuable?</u>	<u>Rare?</u>	<u>Difficult to Imitate?</u>	<u>Supported by Organization?</u>	<u>Competitive Implications</u>	<u>Performance</u>
No	----	----		Competitive Disadvantage	Below Normal
Yes	No	----		Competitive Parity	Normal
Yes	Yes	No		Temporary Competitive Advantage	Above Normal
Yes	Yes	Yes		Sustained Competitive Advantage	Above Normal

Discussion

- What is the objective of internal analysis?
- What is the difference between a resource and a capability?
- What is the difference between a tangible and an intangible resource or capability?
- What is a core competency?
- What framework helps you identify those resources, capabilities, or core competencies that provide competitive advantage?
- Why might competitive advantage for a firm be fleeting?

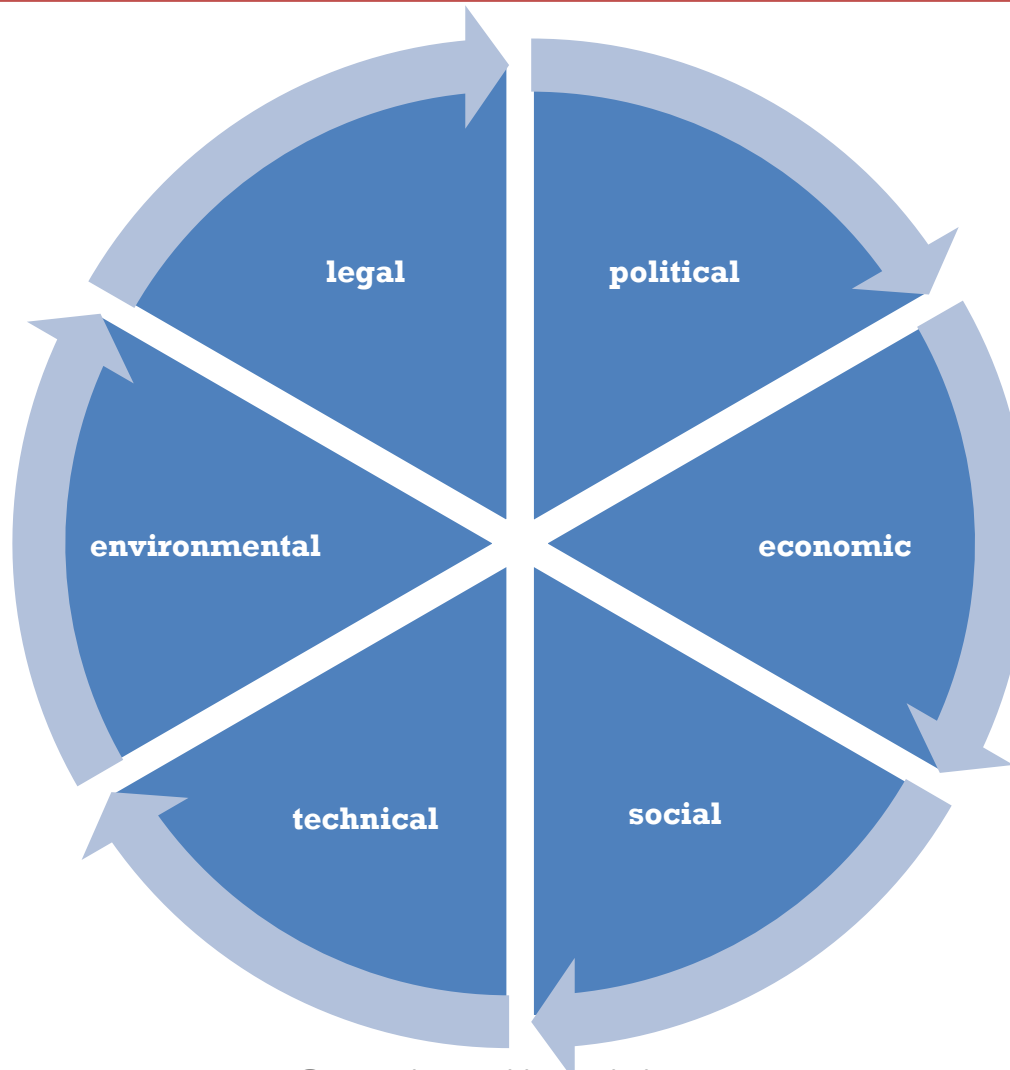
DEVELOPING STRATEGY THROUGH EXTERNAL ANALYSIS

An external analysis tells the strategist what is outside the organization.

- **Begin with the general environment**

Six General Environment Segments

PESTLE Analysis



AN ORGANIZATION'S MICROENVIRONMENT

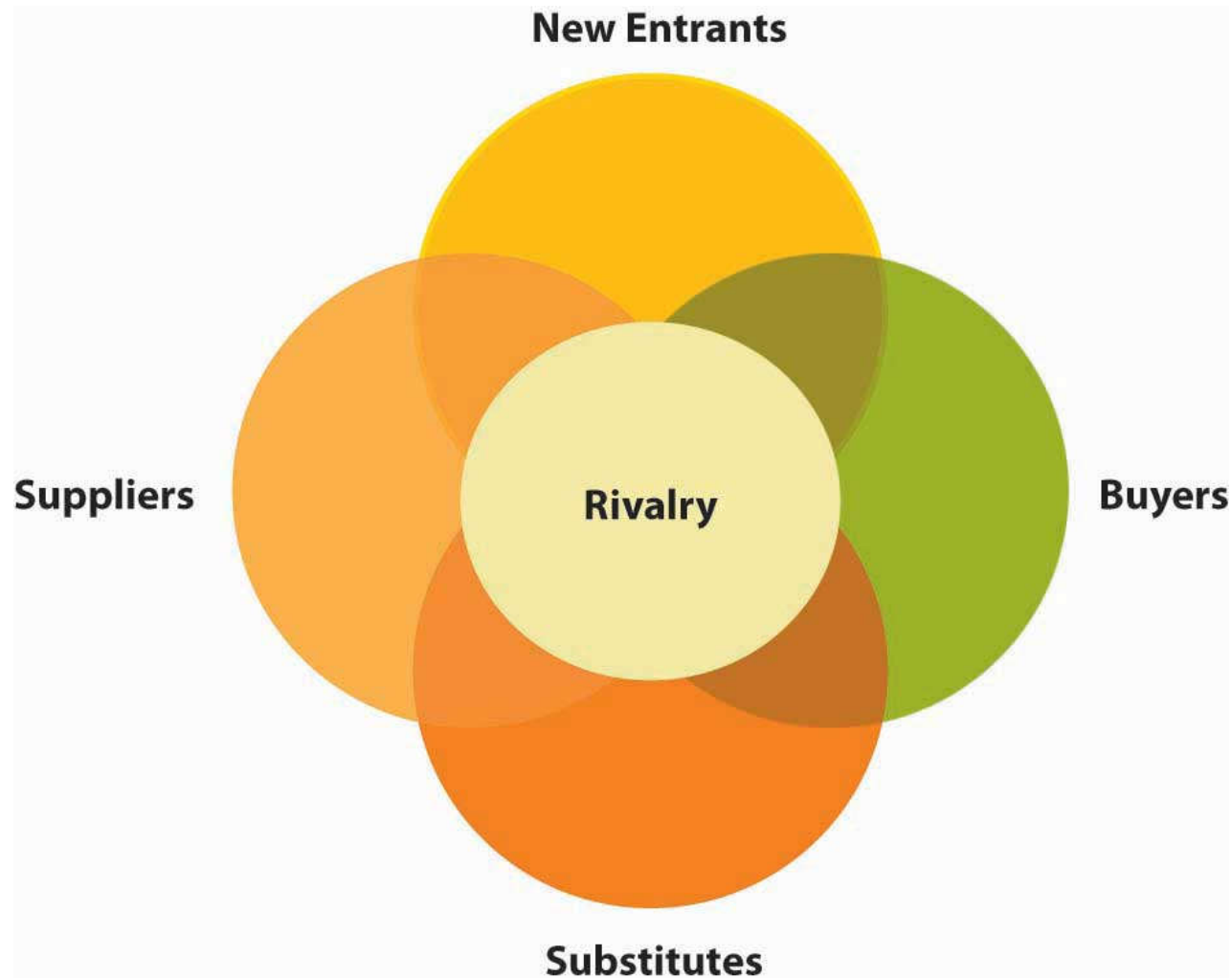
Industry

- A group of firms producing products that are close substitutes
- **Upstream Markets:** industries that provide the raw material or inputs for the focal industry
- **Downstream Markets:** industries (sometimes consumer segments) that consume the industry outputs

Industry Microenvironment

- Consists of stakeholder groups that a firm has regular dealings with.
- The way these relationships develop can affect the costs, quality, and overall success of a business.

Porter's Five Forces



Understanding the dynamics that shape how much profit potential exists within an industry is key to knowing how likely a particular firm is to succeed within the industry. There are five key forces that determine the profitability of a particular industry.



POTENTIAL ENTRANTS are firms that are not currently considered viable competitors in the industry but that may become viable competitors in the future. For example, Tesla Motors' production of electric vehicles poses a threat to displace the traditional powers in the auto industry, and Chinese auto makers are rumored to be eyeing the US market.



SUPPLIERS to the auto industry include firms such as Lear Corporation who produces auto interior systems.



INDUSTRY COMPETITORS in the auto industry include firms such as Ford, Chrysler, and GM.



BUYERS are those firms that buy directly from the industry such as automobile dealerships. Automakers also have to pay careful attention to end users, of course, such as individual drivers and rental car agencies.



SUBSTITUTES for the auto industry's products include bicycles and mass transit. Luckily for automakers competing in the US market, Americans are notoriously reluctant to embrace these substitutes.



Porter's Attractiveness and Profitability Analysis

Likely to Profit

- ✓ Is the industry difficult to enter?
- ✓ Is there limited rivalry?
- ✓ Are buyers relatively weak?
- ✓ Are suppliers relatively weak?
- ✓ Are there few substitutes?

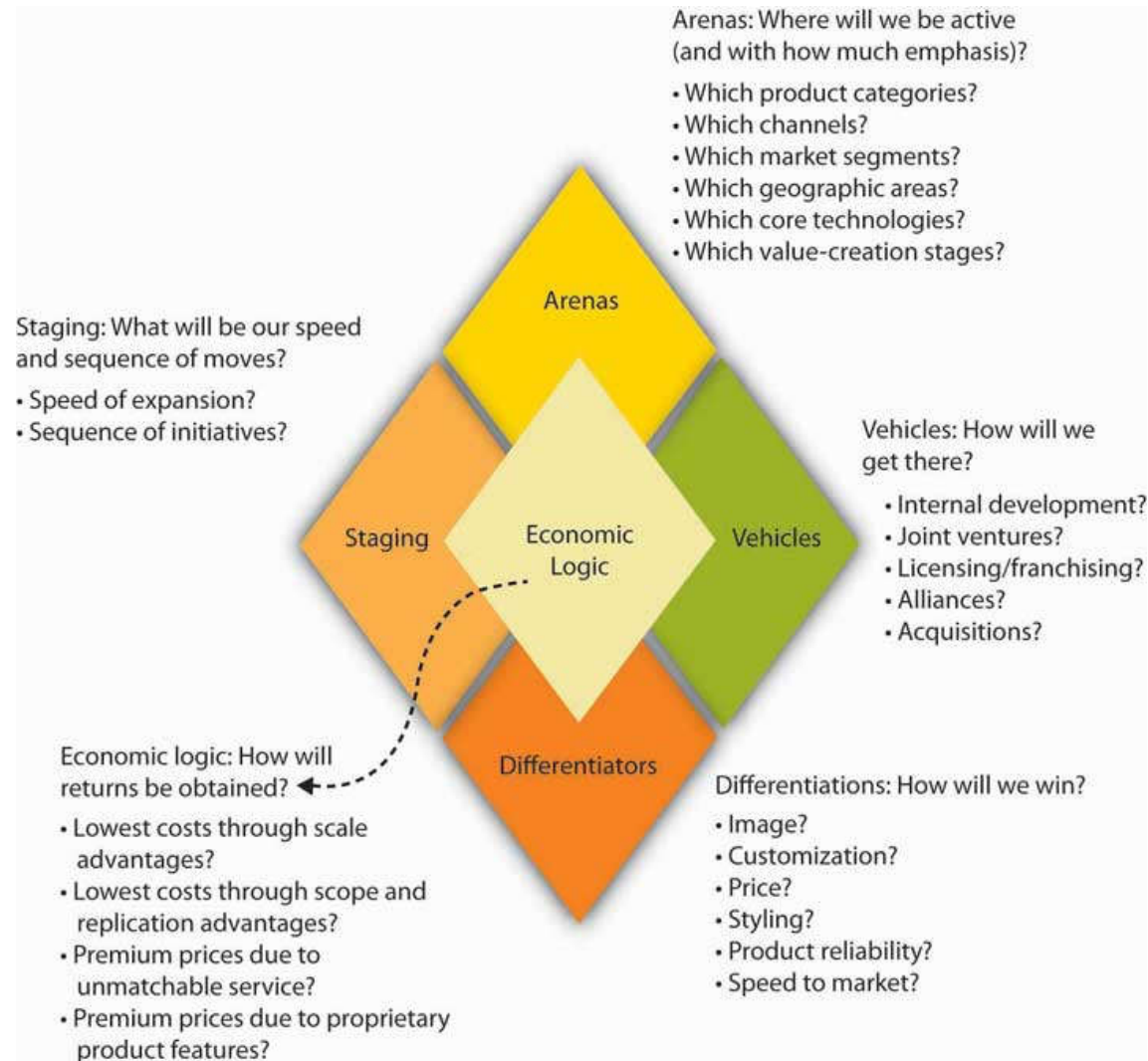
Challenges to Profit

- ✓ Is the industry easy to enter?
- ✓ Is there a high degree of rivalry between firms within the industry?
- ✓ Are buyers strong?
- ✓ Are suppliers strong?
- ✓ Is it easy to switch to alternatives?

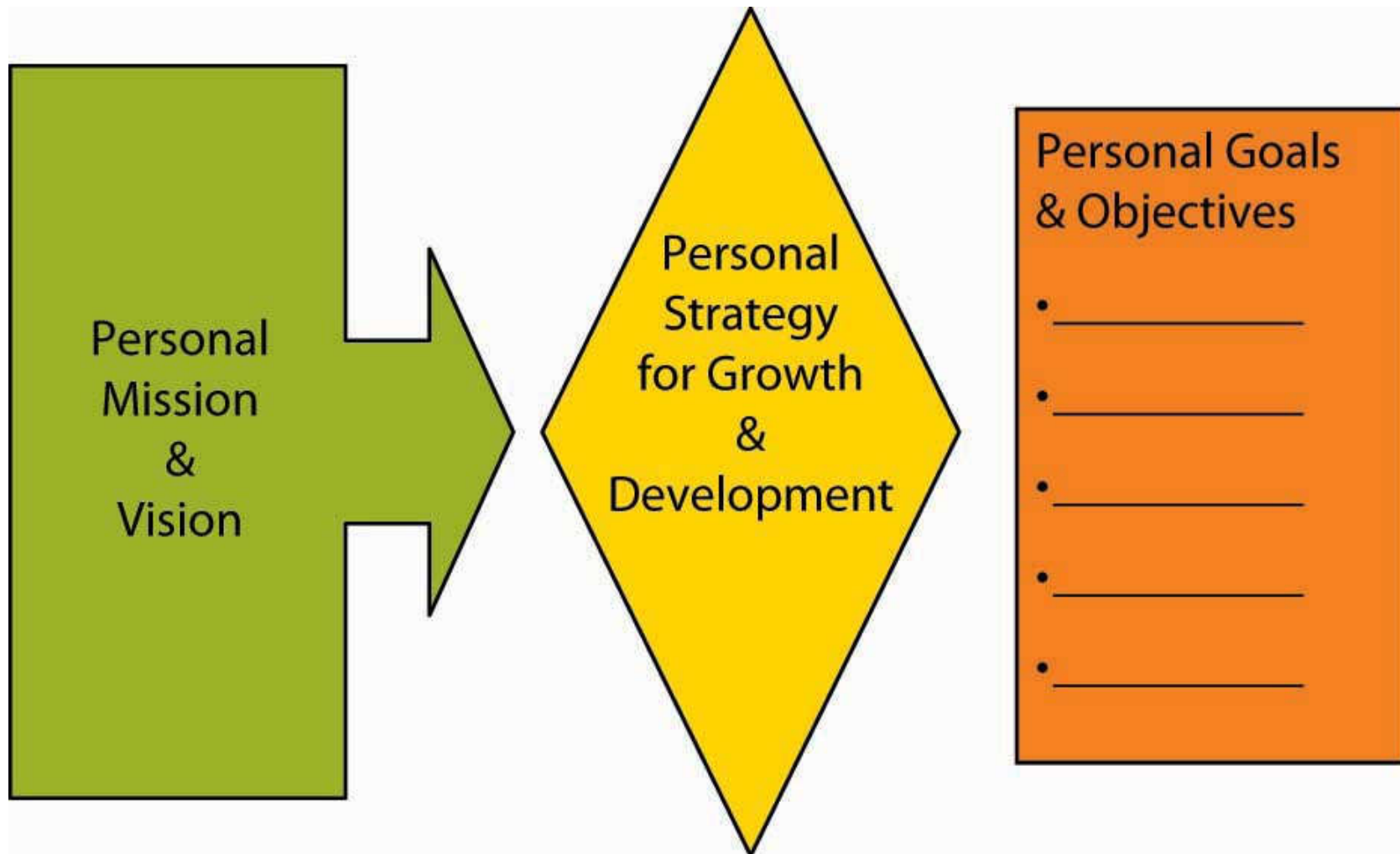
Discussion

- What are the six dimensions of the environment that are of broad concern when you conduct a PESTLE analysis?
- Which of the PESTLE dimensions do you believe to be most important, and why?
- What are the key dimensions of a firm's microenvironment?
- What are the five forces referred to in the Porter framework?
- Is there a dimension of industry structure that Porter's model appears to omit?

The Strategy Diamond



Planning and Your Personal Growth and Development Strategy



Personal Arenas and Differentiators

- What type of work do I want to do?
- What leisure activities do I like?
- Where do I want to live?
- What capabilities (differentiators) do I need to participate in these arenas?
- What organizations value these capabilities (differentiators)
- What capabilities (differentiators) do I want to have and excel in?

Personal Vehicles

- What do I need to accomplish on my own?
- What do I want to accomplish on my own?
- What do I need to accomplish with the help of others?
- Who are they?

Personal Staging and Pacing

- What sequence of events does my strategy require?
- What are the financial requirements and consequences of each event?
- What is my deadline for the first event?
- Is the deadline flexible? Can I manage the pacing of the achievement of each event?
- How will timing affect achievement of my personal growth and development strategy
- Do some events provide an opportunity to reconsider or adjust my strategy?

Personal Economic Logic

- How does achievement of my strategy help me pay the bills?
- What dimensions of my strategy, like arenas or differentiators, is the economic logic of my strategy most dependent on?
- How sustainable is the economic logic of my strategy?

Discussion

- What are the five facets of the Hambrick & Fredrickson strategy diamond?
- What is the relationship between arenas and differentiators if the strategy yields a positive economic logic?
- If a firm is performing poorly financially, what might this say about the differentiators, arenas, or both?
- Why is it important to consider vehicles as part of an organization's strategy?
- What is the difference between staging and pacing in terms of the strategy diamond?
- What are some ways that you might apply staging and pacing to an organization's strategy?